DE–158 **11**

DISTANCE EDUCATION

B.B.A. (C.S.) DEGREE EXAMINATION, DECEMBER 2014.

BUSINESS COMMUNICATION

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. What are the different kinds of enquiry letters? Explain them.

2. Differentiate offer from quotations.

3. State and explain the trade references.

4. What are the elements to be considered while drafting letters for orders? Explain them.

5. How a complaint letter is written? State its features.

6. Explain agency letters.

7. What are the elements to be considered while corresponding with the bankers?

8. Discuss the features of a good report.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

9. Draft a letter to a stationery dealer to supply stationery requirements for your concern. Draft a suitable reply.

10. Write a letter providing information on the credit status of a business firm which has given your name as a reference.

11. An order is received for 2000 LED televisions from a dealer of a midtown city. Draft a reply letter expressing your inability to execute the order.

12. Write a persuasive collection letter to a customer who has not responded to your earlier remainder letter.

13. Write a circular letter to your esteemed customer informing about your best offer of sale.

14. Draft an agenda for the forthcoming AGM.

15. Prepare an application with a bio-data for the post of chief executive head of a marketing firm.

DE–159 **12**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

BASIC FINANCIAL ACCOUNTING

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the objectives of accounting?

2. Explain the steps needed to find out average due date?

3. What is self–balancing system? How does it differ from sectional balancing?

4. Bring out the difference between joint venture and partnership.

5. Explain any two methods of depreciation.

6. What is a promissory note? Discuss its features.

7. Find out the amount of salaries to be debited to income and expenditure account for 2006 from the details given below:

	Rs.
Payments made for salaries during 2006	48,000
Outstanding salary as on 31.12.2005	2,000
Outstanding salary as on 31.12.2006	3,200
Prepaid salary as on 31.12.2005	1,200
Prepaid salary as on 31.12.2006	1,600

8. A partner has withdrawn the following sums of money during the half year ending 30.6.04.

	Rs.
January 15	300
February 18	250
March 10	150
March 26	200
April 20	400
May 16	300
June 18	500

Interest is to be charged at 8% p.a. Find out the average due date and calculate the amount of interest to be debited to the partner.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What is meant by Accounting conventions? Explain their classification.

10. From the following trial balance, prepare trading, profit and loss A/c for the year ended 31.12.2008 and Balance sheet as on that date.

Trial Balance

	Rs.		Rs.
Purchases	11,870	Capital	8,000
Debtors	7,580	Bad debts recovered	250
Return inwards	450	Creditors	1,250
Bank deposit	2,750	Return outwards	350
Rent	360	Bank overdraft	1,570
Salaries	850	Sales	14,960
Travelling expenses	300	Bills payable	1,080
Cash	210		
Stock	2,450		
Discount allowed	40		
Drawings	600		
	27,460		27,460

Adjustments:

(a) The closing stock on 31.12.08 was Rs.4,200.

(b) Write off Rs.80 as bad debts and create a reserve for bad debts at 5% on sundry debtors.

(c) Three months rent is outstanding.

11. On 1.4.2009, Balu draws a bill on Ravi for Rs.1,600 for goods sold at 90 days after sight. Ravi accepts the bill on 5.4.2009. Balu, how ever, endorsed the bill to Sohan in settlement of a debt of Rs.1,700. On maturity the bill was duly honoured by Ravi. Show the journal entries in the books of all the parties.

12. Das and Krishnan entered into a joint venture sharing profits and losses as 3:2. They opened a bank A/c by depositing Rs.40,000 each.

Das purchased 800 kg. of an item @ Rs.60 per kg. and his expenses were Rs.13,000. Krishnan purchased a second item of 10,000 kg. @ Rs.2.10 per kg. and his expenses were Rs.11,000. Expenses were met from private sources and purchases were paid from bank account.

Krishnan sold 600 kg. of the first item @ Rs.100 per kg. and his selling expenses were Rs.5,500. Das sold 8,000 kg. of the second item @ Rs.5 per kg. and his selling expenses were Rs.6,000. All the sale proceeds were deposited in Bank Account and expenses were met from private sources.

Write up necessary accounts in the books of the venture. Also prepare a balance sheet of the venture.

13. George co. Ltd. purchased a machine on 1st January 2005 for Rs.50,000. On 1st July 2005, further machinery was purchased for Rs.25,000. On 1st July 2006, the machinery purchased on 1st January 2005, having become obsolete, was sold off for Rs.20,000. Depreciation has to be charged at 20% on the original cost assuming that the accounts are closed every year on 31st December. You are required to prepare.

(a) Machinery A/c

(b) Provision for depreciation A/c.

14. From the following particulars, prepare sales ledger adjustment A/c and General ledger adjustment A/c.

1.1.2007	Rs.	31.12.2007	Rs.
Sales ledger balance	31,500	Sales during the month	75,000
Provision for doubtful debts 31.12.2007	2,500	Cash received from customers	65,800
		Returns from customers	550
Bills accepted by customers	3,200	Cheques dishonoured	250
Cheques received from customers	3,150	Bills accepted by customers renewed	200
Bad debts previously written off now recovered	80	Cash discount allowed	1,300
Carriage charged to customers	120	Interest cheque on	
Cash paid to customers by mistake	130	Bills renewed	5
Bills honoured	800	Bad debts written off	450

15. From the following particulars, prepare Income and expenditure A/c.

	Rs.		Rs.
Fees collected including Rs. 80,000 on account of previous year	3,80,000	Meeting expenses	18,000
Fees outstanding for current year	10,000	Travelling expenses	6,000
		Purchase of books and periodicals	
Salary paid, including Rs.3,000 on A/c of the previous year	28,000	(Including Rs.19,000 for purchase of books)	29,000
Salary outstanding at the end of the year	1,000	Rent	10,000
Entertainment expenses	3,000	Postage	15,000
Tournament expenses	12,000	Printing and stationary	4,000
		Donations received	20,000

DE–160 **13**

DISTANCE EDUCATION

B.B.A. (CS). DEGREE EXAMINATION, DECEMBER 2014

PRINCIPLES OF MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. Explain briefly the main elements of Taylor's scientific management.

2. What are the different types of plans? Explain.

3. Define departmentation. Why is the departmentation necessary?

4. What are the advantages of job analysis?

5. Discuss the principles of direction.

6. State the qualities of a good leader.

7. What are the basic requirements of good controlling?

8. State the importance of coordination.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

9. Discuss the importance of management in the present day.

10. Define Decision making. Explain the need for and the factors involved in decision–making.

11. What are the obstacles to effective delegation? Suggest method to overcome these obstacles.

12. Explain the concept of staffing and brief the significant activities performed in it.

13. Discuss Maslow's theory of motivation.

14. Explain the important devices of control.

15. State and explain the barriers of communication.

DE–161 **14**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

COMPANY LAW

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain fully the features of different types of registered companies.

2. What is a statement in lieu of Prospectus?

3. What are the contents of minutes?

4. What is transfer of shares? How does it differ from transmission of shares?

5. What is doctrine of 'indoor management'? Explain.

6. Who is a managing director? What is his role in the management of a company?

7. How is a director of a company appointed?

8. What is a 'Prospectus'? State the provisions relating to issue of a prospectus.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What is incorporation of a company? Enumerate the procedure for incorporation of a company.

10. What is Memorandum of association? What are its contents? How can it be altered? – Explain.

11. State the purposes that require passing of different kinds of resolutions in the meeting of a joint stock company.

12. What are different kinds of share capital? Explain.

13. Explain the requisites of a valid meeting.

14. What is the procedure for member's voluntary winding up?

15. What is 'Articles of Association'? How can it be altered?

DE–162 **15**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

MANAGERIAL ECONOMICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define managerial economics. What are its scope?
2. Discuss the equimarginal principle.
3. Explain the concept of elasticity of demand.
4. Explain about "opportunity cost".
5. Describe the use of production function in decision making.
6. What are the features of monopoly?
7. What are the legal constraints in pricing?
8. What are the different types of oligopoly?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the functions of managerial economics.
10. Discuss the methods of making investment decisions under risk.
11. Explain distinctive types of elasticity.

12. Discuss Cobb-Douglas production function.

13. Explain the concept of 'product differentiation' in monopolistic competition.

14. Discuss the factors influencing price elasticity of demand.

15. Explain the methods of demand forecasting.

DE–163 **21**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral)
DEGREE EXAMINATION, DECEMBER 2014.

SECRETARIAL PRACTICE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. How a Secretary is appointed in a Public Limited Company?

2. State the provisions of Companies Act 1956 relating to issue of bonus shares.

3. Describe the secretarial work involved in the forfeiture of shares.

4. What are the legal provisions for holding an Extra Ordinary General meeting?

5. Who are contributories in the winding up of a company?

6. What is the procedure for payment of dividend?

7. "Transferability of shares is not possible in a Private Company" — Discuss.

8. "Directors are only agents but also in some sense trustees of a company". Explain.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Define Share. Explain the different types of shares that may be issued by a company.

10. Describe the statutory conditions that must be satisfied before a Public Company can proceed with the work of allotment of shares.

11. What is meant by "Quorum? What are the statutory provisions relating to "Quorum" for different kinds of company meetings?

12. Briefly state the mode of appointing a director? Can a retiring director be re-appointed?

13. Outline the concept of "Crystallisation". What is the process for crystallisation of charges?

14. "A company cannot pay interest out of capital" — Comment.

15. Under what circumstances a company can be wound up by the tribunal? Who may apply for this?

DE–164 **22**

DISTANCE EDUCATION

B.B.A. (CS)/ B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014.

COMMERCIAL LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is an offer? State the rules of a valid offer.

2. Explain the essential elements of agency.

3. Distinguish between Sale and agreement to sell.

4. What are the Rights of Bailor? Explain.

5. List out the differences between bill of exchange and cheque.

6. What are the effects of non-registration of a firm?

7. What is an arbitration agreement? State its essentials.

8. When should insurable interest present is life insurance?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Define Contract. State and explain the essentials of a valid contract.

10. Explain Implied conditions in a contract of sale.

11. Discuss the rights and duties of an agent.

12. Explain various types of Endorsements.

13. Is the contract of Insurance a contract of indemnity? Discuss.

14. Describe the rights and duties of common carrier.

15. Explain various mode of discharge of a contract.

DE–165 **23**

DISTANCE EDUCATION

B.B.A. (CS)/ B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014.

BUSINESS STATISTICS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define statistics. Discuss its functions.

2. From the following data compute arithmetic mean by direct method?

Marks	0–10	10–20	20–30	30–40	40–50	50–60
No. of students	5	10	25	30	20	10

3. Explain the main difference between mean deviation and standard deviation.

4. The ranking of 10 students in two subjects A and B follows:

A	B	A	B
6	3	4	6
5	8	9	10
3	4	7	7
10	9	8	5
2	1	1	2

Calculate rank correlation coefficient.

5. What is 'moving average'? What are its uses in time series?

6. For the data given below, calculate the index number by taking:

   (a) 1989 as the base year.

   (b) 1996 as the base year.

   (c) 1989 to 1991 to the base period.

Year	Price of Commodity 'X'	Year	Price of Commodity 'X'
1989	4	1994	10
1990	5	1995	9
1991	6	1996	10
1992	7	1997	11
1993	8		

7. What are the assumptions underlying interpolation of missing figure in a series?

8. Calculate the three yearly moving average of the production figures given below and draw the trend:

Year	Production (in met. Tones)	Year	Production (in met. Tones)
1985	15	1993	63
1986	21	1994	70
1987	30	1995	74
1988	36	1996	82
1989	42	1997	90
1990	46	1998	95
1991	50	1999	102
1992	56		

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. "Statistics was originally concerned with matters of state and was regarded as the science of statecraft". Explain the statement.

10. Find the geometric mean for the data given below:

Marks	Frequency	Marks	Frequency
4–8	6	24–28	12
8–12	10	28–32	10
12–16	18	32–36	6
16–20	30	36–40	2
20–24	15		

11. Find the median and mean deviation of the following data:

Size	Frequency	Size	Frequency
0–10	7	40–50	16
10–20	12	50–60	14
20–30	18	60–70	8
30–40	25		

12. Construct a Fisher's ideal index from the following data and show that it satisfies time reversal and factor reversal tests:

Items	1995		1996	
	p_0	q_0	p_1	q_1
A	10	40	12	45
B	11	50	11	52
C	14	30	17	30
D	8	28	10	29
E	12	15	13	20

13. What is an average? Explain the geometric mean and state its merits and limitation.

14. Fit a straight line trend by the method of least squares to the following data. Assuming that the same rate of change continues, what would be the predicted earning for the year 1998?

Year	1989	1990	1991	1992	1993	1994	1995	1996
Earnings (Rs. Lakhs)	38	40	65	72	69	60	87	95

Do not plot trend values on the graph.

15. Explain the methods of calculating co-efficient of correlation.

DE–166 **24**

DISTANCE EDUCATION

B.B.A.(CS)/B.B.A.(CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014.

ADVANCED ACCOUNTANCY

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. A and B are partners sharing profits in the ratio of 3:2. C is admitted and new profit sharing ratio is 2:2:1 C brings in cash Rs. 8,000 for capital and Rs. 2,000 for goodwill. The balance sheet of A and B is as follows:

Liabilities	Rs.	Assets	Rs.
Capitals		Goodwill	2,500
A	8,000	Assets	17,500
B	8,000		
Reserve	4,000		
	20,000		20,000

Partners decided that good will account should appear in the new firm's books at Rs. 6,000. Give journal entries and prepare balance sheet of the new firm.

2. Explain in detail the rule laid down in 'Garner Vs. Murray' case.

3. The sunshine company Ltd issued 40,000 equity shares of Rs. 10 each and 30,000, 12% preference shares of Rs. 100 each payable as follows.

	Equity shares Rs.	Preference shares Rs.
On application	2	20
On allotment	4	35
On first and final call	4	45

All shares offered were subscribed for by the public and cash was duly received. Pass journal entries to record the above issue of shares.

4. The following extract from the balance sheet of Vijay Ltd. as on 31 Dec 1997 is given to you and you are asked to give journal entries.

Share capital (2,00,000 shares of Rs. 10 each)	Rs. 20,00,000
6% redeemable pref shares (2,00,000 shares of Rs. 10 each)	Rs. 20,00,000
Capital reserve	Rs. 10,00,000
General reserve	Rs. 6,00,000
Profit and loss a/c	Rs. 17,00,000

The company exercises its option to redeem the preference shares on 1st January 1998.

5. A company was incorporated on 1.06.2004 in order to purchase a running business from 1.01.2004. The following particulars are available from its record.

(a) Total sales for 2004 Rs. 80,000

(b) Sales from 1.01.2004 to 31.05.2004 Rs. 20,000

(c) Gross profit for the whole year Rs. 30,000

(d) Total expenses of 2004 (including directors fee Rs. 1,000) 25,0000

(e) Company's share capital Rs. 75,000

Find out profit prior to incorporation and after incorporation by preparing profit and loss account.

6. Give journal entries for the following transactions in connection with internal reconstruction.

   (a) 30,000 equity shares of Rs. 10 each fully paid reduced to shares of Rs. 5 each fully paid.

   (b) 300 9% debentures of Rs. 1,000 each converted into 1,500 12% debentures of Rs. 100 each.

   (c) The debit balance of profit and loss account of Rs. 1,50,000 and the preliminary expenses Rs. 30,000 were written off.

   (d) The value of plant and machinery and stock were written down by Rs. 60,000 and Rs. 30,000 respectively.

7. What are the differences between hire purchase system and installment purchase system?

8. A colliery is leased to national coal syndicate on a royalty of Re. 1 per tonne on the output. A minimum rent of Rs. 16,000 P.A. and allowances for short workings are provided in the lease. The coal actually raised in a series of years is as follows:

Year	Tonnes
Ist	8,000
IInd	10,000
IIIrd	18,000
IVth	28,000
Vth	14,000

Draw up short working account, minimum rent account. Royalty account and landlord a/c in the books of National Coal Syndicate ltd.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. A and B share profits in the ratio of 3:1 the balance sheet as on 31.12.2005 is as follows:

Liabilities	Rs.	Assets	Rs.
Creditors	37,500	Cash at bank	22,500
General reserve	4,000	Bills receivable	3,000
Capital		Stock	20,000
A	30,000	Debtors	16,000
B	16,000	Furniture	1,000
		Buildings	25,000
	87,500		87,500

On 1.01.2006 they admit C as a new partner on the following arrangement.

(a) C to bring Rs. 10,000 as capital for 1/5th share of profit.

(b) The new firm to have goodwill Rs. 10,000

(c) Stock and furniture's to be reduced by 10%, a reserve of 5% on debtors for doubtful debts to be created.

(d) Building to be appreciated at 20%

Give the necessary ledger accounts and balance sheet.

10. P, Q and R share profits in proportion of 2:1:1 on the date of dissolution the balance sheet was as follows.

Liabilities	Rs.	Assets	Rs.
Creditors	14,000	Sundry assets	40,000
P's capital	10,000		
Q's capital	10,000		
R's capital	6,000		
	40,000		40,000

The assets realized 35,500 creditors were paid in full realisation expenses amounted to Rs. 1,500. Close the books of the firm.

11. XYZ company limited, made a public issue of 20,000 equity share of Rs. 100 each at a premium of Rs. 10 each. the amount payable is as under.

    On application Rs. 25

    On allotment Rs. 35 (including premium)

    On 1st call Rs. 30

    On final call Rs. 20

    All the shares were subscribed when calls were made, Except on 100 shares of Mr.Arjun who failed to pay the first and final calls. All the money were received. The directors have forfeited the shares and reissued them at Rs. 75 each as fully paid up. The share issue expenses amounted to Rs. 60,000.

    Give the necessary journal entries.

12. Ganesh Ltd was incorporated on 01.07.2007 to acquire the running business of Sunil & Co with the effect from 01.01.2007.

    The following was the profit and loss a/c of the company on 31 December 2007.

Particulars	Rs.	Particulars	Rs.
To Office expenses	54,000	By gross profit b/d	2,25,000
To Formation expenses	10,000		
(Written off)			
To postage and stationary	5,000		
To selling expenses	60,000		
To directors fees	20,000		
To net profit	76,000		
	2,25,000		2,25,000

    You are required to prepare a statement showing profit earned by the company in the pre and post incorporation period. The total sales for the year took place in the ratio of 1:2 before and after incorporation respectively.

13. Raj Ltd. and Gokul ltd agreed upon amalgamation. The balance sheets of both the companies were as follows.

Liabilities	Raj Ltd	Gokul Ltd	Assets	Raj Ltd	Gokul Ltd
Capital	Rs.	Rs.		Rs.	Rs.
Equity shares (Rs. 10 each)	30,000	24,000	Furnitures	9,000	6,300
Reserves	–	1,500	Sundry debtors	14,400	18,000
Profit and loss a/c	–	3,600	Bank	18,360	12,240
Sundry creditors	12,900	7,440	Profit and loss a/c	1,140	–
	42,900	36,540		42,900	36,540

Assets of Raj Ltd are to be taken over at book value except furniture. Which is to written down by Rs. 3,060 Gokul Ltd assessed are to be taken over at book values except debtors which are to be considered worth Rs. 9,900. The share capital of the combined company is to be 2,400 preference shares of Rs. 10 each fully paid and ordinary shares of 5 each fully paid. Allocation of the share is equal except that the surplus capital of Raju Ltd. is to be satisfied by preference shares.

Show the balance sheet of the new company.

14. A fire occurred in the business premises of Raghavan on 19.07.2009. From the following particulars ascertain the loss of stock and prepare a claim for insurance.

	Rs.
Stock on 01.01.2008	3,67,200
Stock on 31.12.2008	3,24,000
Sales for 2008	21,60,000
Purchases for 2008	14,64,000
Purchases from 01.01.2009 to 19.07.2009	17,64,000
Sales from 01.01.2009 to 19.07.2009	18,00,000

The stocks were always valued at 90% of cost. The stock from fire was worth Rs. 2,16,000 The amount of policy was Rs. 7,56,000. There was an average clause in the policy.

15. The following purchases were made by a business house having three departments A, B and C.

Dept A – 1000 Units
Dept B – 2000 Units } at a total cost of Rs. 1,00,000
Dept C – 2400 Units

Stocks on 1st January were:

Dept A – 120 units

Dept B – 80 units

Dept C – 152 units

Sales during the year were:

Dept A – 1020 units at Rs. 20 each

Dept B – 1920 units at Rs. 22.50 each

Dept C – 2400 units at Rs. 25 each

The rate of gross profit is same in each case.

You are required to prepare the departmental trading account.

DE–167 **25**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014.

CORPORATE FINANCE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the role and scope of finance function.

2. Differentiate the modern financial manager from traditional financial manager.

3. Enumerate the principles governing a sound financial plan.

4. How will you assess the working capital requirements of your company?

5. What do you mean by optimum capital structure?

6. Explain "Arbitrage Process".

7. Write short note on UTI.

8. What is debentures? What are its features?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Evaluate wealth maximisation objective of financial management.

10. Explain the causes and effects of over-capitalisation.

11. State the factors that determine the capital structure of a firm.

12. Briefly explain the classification of sources of finance.

13. How would you assess the working capital requirements for a seasonal industry?

14. Explain the functions of ICICI.

15. What are the differences between shares and debentures?

DE–168 **31**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014

CAPITAL MARKET LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the constituents of the Indian capital market.

2. What are exchange traded funds?

3. Who are the traders in a stock exchange?

4. Analyze the various systems of trading on a stock exchange.

5. State and explain the various features of OTCEI.

6. Write a note on penalty provisions of merchant brokers.

7. Explain the trading mechanism adopted by the NSE.

8. State the products offered by the NSE.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the growth of the Indian capital market.

10. How stock exchange organised in India? Explain.

11. What are the steps taken by the SEBI to build investor confidence?

12. Analyze the factors that have caused slow growth of the OTCEI.

13. Critically examine the working of the NSE.

14. Bring out the regulatory framework of Indian capital market.

15. What are the rules and regulations of merchant brokers?

DE–169 **32**

DISTANCE EDUCATION

B.B.A. (CS) / B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014.

TAX LAWS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define the terms

   (a) Assessment year

   (b) Assessee.

2. Mr. John, a foreign national came to India for the first time on June 15, 2007. During the financial years 2007-08, 2008-09, 2009-10, 2010-11, 2011-12 and 2012-13, he stays in India for 120 days, 115 days, 15 days, 191 days, 124 days and 80 days respectively. Determine his residential status for the assessment year 2013-14.

3. Mr. KG is working in a Central Government office at Simla. His salary particulars are as follows :

	₹
Salary	72,000
D.A. (fully enters into pay for retirement benefits)	48,000
Hill compensatory allowance	12,000
Transport allowance	9,600
Provided with rent free house :	
Annual license fee	7,200
Cost of furnishing	45,000

Calculate value of rent free house.

4. Calculate the ARV from the particulars given below :

	₹
Actual rent	7,000 p.m
MRV	60,000 p.a
FRV	66,000 p.a
Standard rent	69,000 p.a.

During previous year 2012-13 assessee could not realise rent for two months.

5. Under what circumstances income of other persons can be included in the income of assessee under Income Tax Act, 1961?

6. From the following information compute the income from other sources for the assessment year 2013-14 :

		₹
(a)	Card games loss	12,000
(b)	From the activity of owing and maintaining horses for race purposes	
	(i) Loss at Bombay	40,000
	(ii) Profit at Bangalore	20,000
(c)	Dividend (Gross) from Indian companies	6,000
(d)	Betting in horse races	4,000

7. Assessee A is the investor in shares and held 1,000 shares of ₹ 10 each in a company on 31st March, 1992 he was allotted 1,000 Bonus shares of the face value of ₹ 10 each. The cost of acquisition of original shares was ₹ 12 each. During the previous year ending 31st March, 2013 assessee sold 500 shares out of his Bonus shares @ 14 per share. Compute the capital gain for the assessment year 2013-14 if cost inflation index for 90-91 is 182 and 2012-13 is 852.

8. Clearly explain the conditions to be satisfied for an income to be treated as agricultural income?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Following are the incomes of Sri Rathnam for the previous year 2012-13.

		₹
(a)	Profit from the business in Bangalore.	10,000
(b)	Income accrued in India but received in Japan.	4,000
(c)	Profit from business in Canada but received in Bombay.	5,000
(d)	Income from house property in Karachi received in Bombay.	4,000
(e)	Profit from business established in England and deposited there, the business being controlled from India.	20,000
(f)	Income from house property in America and deposited there.	2,000
(g)	Past untaxed income brought into India during the previous year.	10,000

Compute the total income of Shri Rathnam for the assessment year 2013-14 if he is

(i) Resident

(ii) N.O.R or

(iii) Non-Resident.

10. Give ten examples of Incomes which are totally exempt from income-tax.

11. From the particulars given below compute the salary income of Mrs. Revati for the year ending on 31-3-2013 :

		₹
(a)	Net salary received after deduction of the following	1,50,000
	Income tax deducted at source	6,000
	Own contribution to RPF	20,000
	Rent of residential house provided	4,000
(b)	Profit Bonus	24,000
(c)	Entertainment allowance	12,000 p.a
(d)	She went on tour for official purposes and received travelling allowance	6,000
(e)	She was ill and was treated in a notified hospital medical bills reimbursed	18,000
(f)	She was provided with rent free house owned by the company at Patna (Population 20 lakhs) Company also provided a gardener to maintain this house salary gardener paid by the company.	500 p.m
(g)	The electricity and water bill of the above house paid by the company	1,200 p.m
(h)	She was provided with a car of 1.2 lt.CC which was used partly for personal and partly for employment purposes	
(i)	The company contributed ₹ 24,000 towards RPF.	

12. Following are the particulars of two house properties owned by Mr. Swami.

	House I	House II
Municipal valuation	96,000	90,000
Fair rent	88,000	96,000
Standard rent	90,000	1,08,000
Actual rent received	9,000 p.m	10,000 p.m
Self occupied	1-4-12 – 31-11-12	1-12-12 – 31-3-13
Let out	1-12-12 – 31-3-13	1-4-12 – 30-11-12
Municipal taxes – Due	6,000	8,000
Paid	3,000	Nil
Interest on borrowed money	10,000	42,000

Loan taken to construct House – II is still outstanding. Loan was taken in 1998.

Find out Mr. Swami's Income from house property.

13. Explain in brief the provisions relating to claim of expenses on scientific research.

14. During the year ended 31st March 2013 Mr. David sold the following assets :

	Particulars	Sale Proceeds ₹
(a)	Shop purchased in 1985-86 (C.I.I : 133) for ₹ 18,000	1,70,000
(b)	Machinery purchased in 1983-84 (C.I.I : 125) for ₹ 50,000 (W.D.V on 1-4-2012 ₹ 35,000)	60,000
(c)	Furniture purchased on 1-5-2012 for ₹ 1,000	1,300
(d)	Machinery purchased on 1-5-2012 for ₹ 10,000	12,000
(e)	Agricultural land in Agra purchased in 1979-80 for ₹ 10,000 (F.M.V on 1-4-81 (C.I.I : 100 being ₹ 15,000)	1,60,000
(f)	One residential house purchased in 1987-88 (C.I.I : 150) costing ₹ 30,000	2,20,000

During the year he bought another house for his residence for ₹ 4,00,000. Work out the amount of capital gains to be included in the Gross Total Income and also compute his total income, If his other business income during the year was ₹ 1,00,000. Cost Inflation Index for 2012-13 is 852.

15. Define the terms 'Previous year' and 'Assessment year'. What are the exception to the rule that income of a previous year is assessed to tax in the assessment year?

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DISTANCE EDUCATION

B.B.A (CS)/B.B.A (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014.

ECONOMIC LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Write a note on: Non-resident ordinary rupee accounts.

2. Can a person resident outside India acquire immovable property in India – Explain.

3. State the procedure for seizure and confiscation of essential commodities.

4. Discuss the regulation of scheduled industries through registration and licensing under the IDRA, 1951.

5. Explain monopolistic trade practices with respect to provisions of the MRTP ACT, 1969.

6. Write brief notes on: Eco mark and Environmental Audit.

7. What are the functions of Central Advisory Council?

8. Write an explanatory note on: Re-sale price maintenance.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the functions and powers of MRTP commission.

10. (a) Write a brief note on : Special Economic zones

    (b) State the effect of notified order issued by the Central Government authorising the taking over the management of an industrial undertaking under IRDA, 1951.

11. Who is an authorised dealer? State his duties under FERA. When can his authority be revoked?

12. Write a note on the following under the Essential Commodities Act, 1955.

    (a) Appeal against confiscation order and

    (b) Offences by companies

13. Discuss the provisions of FERA, 1973 with regard to investment by non-resident Indians in shares of Indian Companies.

14. Explain the different authorities under the environment Protection Act, 1986. What are their powers?

15. Define the following forms under the MRTP Act, 1969:

    (a) Dominant undertaking

    (b) Restrictive trade practices

    (c) Unfair trade practices.

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DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014.

COST ACCOUNTING

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the components of cost control.

2. Prepare cost sheet from the following information:

Productive wages	72,000
Raw materials	36,000
Direct expenses	9,000
Unproductive labour	30,000
Administrative expenses	12,000
Taxes and Insurance (Factory)	1,750
Rent and Depreciation	3,500
Factory repairs	3,000

3. Calculate EOQ from the following information and also find the number of orders to be placed in a year: Consumption of materials per annum 10,000 kg; Order placing costs per order Rs.50; Cost per kg of raw materials Rs.2; storage costs 8% on average inventory.

4. Calculate the total earnings and the rate earned per hour of a worker who took 16 hours to complete a job under (a) Halsey and (b) Rowan plans when standard time was 20 hours and hourly wage rate was Rs.4.

5. The overhead costs of three production departments A, B, C and two service departments S and T are Rs.2,500, Rs.3,000, Rs.2,800, Rs.800 and Rs.1390. Distribute the costs of the service departments to production departments as:

	A	B	C	S	T
Service department S	30%	20%	40%	--	10%
Service department T	40%	15%	25%	20%	--

6. Prepare curing process account from the following information:

   Materials used 1,000 kg @ Rs.125; wages Rs.28,000 and overheads Rs.8,000.

   Normal loss 5% of input. Actual output 900 kgs.

7. State the need for reconciling cost and financial profits.

8. Profits shown in the financial and cost accounting records are Rs.2,57,510 and Rs.3,44,800 for the same period. The analysis of the records reveals the following facts:

	Rs.
Under recovery of factory overheads in cost a/cs	6,240
Over recovery of overheads in cost a/cs	3,400
Depreciation in cost records is more than financial accounts by	2,600
Interest and dividends on investments not included in cost	18,450
Income tax debited to financial accounts	92,000
Loss in stock not charged in cost accounts	13,500

   Prepare a reconciliation statement.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain any five important cost concepts.

10. Prepare stores ledger account of material X under weighted average method:

Receipts		Issues	
3rd October	500 units @ Rs.4.00	5th October	400 units
13th October	900 units @ Rs.4.30	15th October	400 units
23rd October	600 units @ Rs.3.80	25th October	600 units

11. Find the earnings of a worker under (a) Straight piece rate, (b) Differential piece rate, (c) Hasley Premium Scheme (50% sharing) and Rowan Premium Scheme.

Working hours	48
Hourly wage rate	Rs.7.50
Price rate per unit	Rs.3.00
Normal output per week	120 pieces
Normal time taken per piece	24 minutes
Actual output for the week	150 pieces

Differential piece rate: 80% of piece rate when output is below normal and 120% of piece rate when output is above normal.

12. Information relating to activities of a production department in a factory during a period are:

	Rs.
Material consumed	72,000
Direct wages	60,000
Hours of machine operation	20,000
Labour hours worked	24,000
Overhead chargeable to Dept.	48,000

The data relating to an order processed in the department during the period are:

	Rs.
Material consumed	4,000
Direct wages	3,300
Labour hours	1,650
Machine hours	1,200

Prepare a statement showing cost of the order using Direct labour hour method and Machine hour rate method.

13. A product passes through two processes X and Y. The output of process X is charged to Process Y at a price which includes a profit of 20% of actual cost and the output of process Y is charged to finished stock at a price which includes a profit of 10% on actual cost. The following data are available for the month of July, 2009.

	Process X	Process Y
Materials (2,500 units)	1,250	1,250
Labour	625	500
Overheads	1,875	750

There is no partly finished work in either process. Prepare process accounts.

14. 2,000 units are transferred to Process B @ R.4 per unit. Other details relating to the process B are:

Materials Rs. 4,000; Labour Rs.1,000; and Overheads Rs.700.

The normal loss has been estimated @ 10% of the process input. Units representing normal loss can be sold @ Re.l.00 per unit. Actual production in the process is 1,900 units. Output of Process B is transferred to finished stock account. Prepare Process B account.

15. From the data given below, calculate the material price variance, the material usage variance and material mixture variance. Consumption per 100 units of product.

Material	Standard	Actual
A	40 units @ Rs.50 per unit	50 units @ Rs.50 per unit
B	60 units @ Rs.40 per unit	60 units @ Rs.45 per unit

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DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2014.

FINANCIAL SERVICES

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is Financial Services? State the nature of Financial Services.
2. "Loans are the Children of Deposits and Deposits are the Children of Loans" — Discuss.
3. What are the problems of Higher Purchase Finance?
4. List out the important functions of Mutual Fund.
5. Bring out the features of venture capital.
6. State and explain the Advantages of Portfolio Management.
7. Write a note on (a) ICRA (b) CARE
8. What do you mean by Net Assets Value?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Who are financial intermediaries? Explain their role in the financial system.
10. State the Fund based and Non-based financial services rendered by Commercial bank.

11. What is Mutual Fund? What are the types of Mutual Fund?

12. Bring out the various services rendered by factoring services.

13. Discuss the role of merchant banks in the capital market.

14. List out and discuss the SEBI Regulations over Mutual Fund.

15. Out line the process of Credit Rating in India.